

result in a respectable number of income-bond issues deserving to rank as fixed-value investments.⁴

Calculations of Margins of Safety for Income Bonds. The technique of analyzing an income-bond exhibit is identical with that for a preferred stock. Computations of earnings on the issue taken separately must, of course, be rigorously avoided, although such calculations are given by the statistical agencies.

We suggest that the minimum earnings coverage recommended in the preceding chapter for preferred stocks be required also for income bonds when selected as fixed-value investments.

Example: The following analysis of the Missouri-Kansas-Texas Railroad Company income account for 1930 will illustrate the proper method of dealing with all the senior securities of a company having adjustment bonds. It also shows how the two methods of figuring the fixed charges of a railroad system (discussed in Chap. 12) are to be applied to the analysis of income bonds and preferred stock.

Note that interest on income or adjustment bonds is not part of the total interest charges when calculating the coverage for the *fixed-interest* bonds. In this respect the position of an income bond is exactly that of a preferred stock. Note also that the statement made by the statistical services that 57.29% was earned on the M-K-T Adjustment 5s. (*i.e.*, that the "interest was covered" more than eleven times) is valueless or misleading.

Significance of These Figures for the Investor in Early 1931. The 1930 earnings were somewhat lower than the ten-year average and could then apparently be viewed as a fair indication of the normal earning power of M-K-T. The coverage for the preferred stock was clearly inadequate from any investment standpoint. The coverage for the adjustment-bond interest on the more conservative basis (the net-deductions method) was

⁴ The Associated Gas and Electric Company used the device of "bonds" convertible into preferred stock *at the option of the company*, and obtained this tax saving without the burden of a fixed-bond obligation. The income-bond form would have been far less misleading to the ordinary investor than this extraordinary invention.

Income bonds have been favored over preferred stocks in railroad reorganizations because of legal restrictions on insurance companies which would prohibit them from holding preferred shares in place of their old bonds. Conceivably this consideration, as well as the tax saving, could induce corporations to do *new* financing through income bonds in lieu of preferred stocks.